Broker Responsibility Guide

How to Meet TREC Requirements

COMPENSATION

TEXAS REALTORS®

Compensation

Why does this need to be in my manual?

Compensation: TREC ("Texas Real Estate Commission") Rule 535.2(i)(3) requires a broker to maintain written policies and procedures to ensure that all compensation paid to a sponsored sales agent for all real estate related acts or services is paid by, through, or with the written consent of the sponsoring broker.

What do I need to know?

Compensation to or paid by a sales agents: All compensation received by associates for performing licensed activities must be paid to them through the sponsoring broker, except with the express written consent of the broker (TREC Rule 535.3).

A broker's written policies and procedures must address how compensation is to be paid to sales agents, team members, and assistants to associates.

Compensation for acts not requiring a license do not have to flow through the broker; however, it is advisable for the broker to address these situations and include them in the policy manual.

Items to address in the written policies and procedures:

a. Compensation schedule – how and when compensation will be provided
b. Compensation following termination of broker associate relationship
c. Compensation to team members
d. Compensation to unlicensed assistants
e. Splits between license holders for referrals within the office and co-brokerage referrals
f. Withholdings, garnishments, remuneration assignments, etc.
g. Annual income reporting, such as with IRS 1099, etc.
h. Commission disputes

Texas REALTORS® Form 2301: Most compensation issues will be addressed if the broker uses *Independent Contractor Agreement for Sales Associate* (TXR 2301), but it is still highly recommended to have a written policy that address all possible compensation issues.

Commission Disputes: Certain inter-office disputes that arise between brokers who are REALTORS® must be resolved using the NAR arbitration process.

NAR Code of Ethics, Article 17: "In the event of contractual disputes or specific non-contractual disputes as defined in Standard of Practice 17-4 between REALTORS® (principals) associated with different firms, arising out of their relationship as REALTORS®, the REALTORS® shall mediate the dispute if the Board requires its members to mediate. If the dispute is not resolved through mediation, or if mediation is not required, REALTORS® shall submit the dispute to arbitration in accordance with the policies of their Board rather than litigate

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the matter."

For more information regarding how to resolve disputes, go to the Arbitration page of the Texas REALTORS® website at https://www.texasrealestate.com/members/legal-and-ethics/ethics/arbitration/.

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